

2026-2027

Industry Outlook

Technology Portfolio

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01 Industry Overview

Industry Overview

Subtitle

Industry History

The current Industrials cycle combines a short-cycle recovery with long-cycle backlogs that never fully unwound. Supply shocks in 2020–2022 lengthened lead times and pushed manufacturers to overstock; automation, warehouse equipment and tools then spent 2023–2025 destocking, while power, grid, aerospace and defense stayed capacity constrained.

Global viewed most short-cycle inventory normalization as largely complete by 2025.

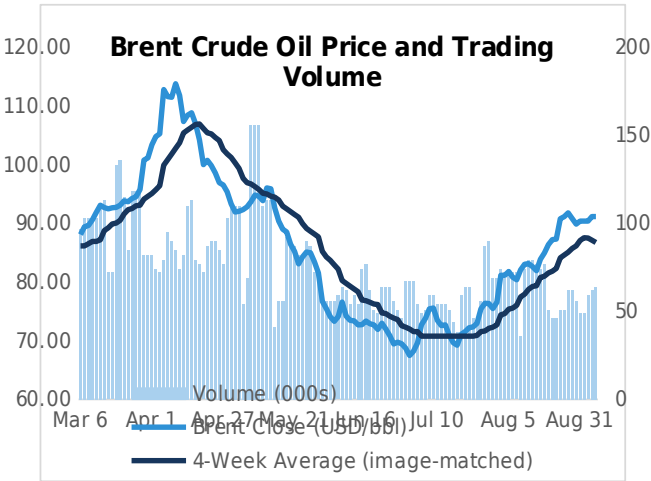
- McKinsey expected global data-center capacity to more than double by 2030, accounting for over 20% of global electricity-demand growth and more than 10% of U.S. power demand by 2030.
- PwC estimated the largest defense contractors ended 2025 with \$948 billion of backlog, up 14% year over year and over 50% over three years.
- U.S. rail carloads were +2.7% year to date through July, ex-coal +4.3% and intermodal +3.8%.

August manufacturing payrolls added 16,000 jobs, including machinery +6,000 and

Metric	Reading
Industrials backlog (% of NTM sales)	~60% (vs. ~30% historically)
Global data-center capacity growth, 2025-2030E	>2.0x
Defense contractor backlog, FY2025	\$948B (+14% YoY; +50%+ over 3 yrs)
U.S. rail carloads, YTD through July	+2.7% (ex-coal +4.3%; intermodal +3.8%)
August manufacturing payrolls	+16,000 (machinery +6,000; fab. metals +10,000)

Industry Trends: Macroeconomic Shifts & SWOT Analysis

The industrial sector, shaped by three overlapping cycles: a secular capex cycle in power, grid, data centres, aerospace and defence; a short-cycle manufacturing recovery that is still broadening; and a cost shock in oil, tariffs, freight and rates. August ISM PMI was 54.6, with New Orders 53.7 and Prices 71.1. PPI increased 5.4% YoY and CPI 3.4% YoY. Brent was \$104.61 versus the EIA's roughly \$90 second-half assumption. The 10-year yield is near 5%. Tariff recoveries of \$392M at Caterpillar and \$382M at Deere provide a near-term offset, but the sector's ability to sustain margins will depend on whether cost pressures ease as demand continues to expand.



Macro Snapshot

ISM PMI / New Orders / Prices	54.6 / 53.7 / 71.1
PPI / CPI, YoY	5.4% / 3.4%
Brent spot / EIA 2H26 path	\$104.61 / ~\$90 per bbl.
10-yr yield / Fed funds range	~5% / 3.50% - 3.75%
Housing starts, YoY	-13.5%
Tariff recoveries (CAT / DE)	\$392M / \$382M

Strength

Backlog ~60% of NTM sales vs. ~30% historically; XLI's top holdings span power, aircraft, defense, rail and agriculture.

Weakness

Price-cost is compressing margin, with Eaton at 27.5% from 29.5%, and equal-weight Industrials trailing the cap-weighted index.

Opportunities

Cost normalizing before orders weaken would broaden margin and participation; funded defense backlog is a floor other end markets lack.

Threats

Brent above \$110, a 10-year near 5%, New Orders below 50 with Prices above 60, or tariffs outlasting the refund cycle would turn the margin squeeze into a demand problem.

Sources:

Industry Overview

Subtitle

Industry Trend I. Short-Cycle Demand Is Broadening the Recovery

- The 2026 recovery is spreading beyond the power, data-center and aerospace markets that carried Industrials through 2023–2025, into more traditional short-cycle manufacturing, but the broadening is incomplete.
- Deutsche Bank’s second-quarter tracker showed 18 of 20 end markets growing year over year, 17 of 20 accelerating sequentially, versus only 7 of 20 accelerating in Q1.
 - Electrical Products grew +18%, Power +17%, Aerospace & Defense +13%, Construction Equipment +10%, Welding +10%, Automation +8%, General Industrial +6%, Truck OEM +6%, and Agricultural Equipment -2%.
 - Inventories have normalized in parts of the

End market	YoY growth	QoQ change
Electrical Products	+18%	+5 pts
Power	+17%	+5 pts
Aerospace & Defence	+13%	—
Construction Equipment	+10%	—
Welding	+10%	+4 pts
Automation	+8%	—
General Industrial	+6%	—
Truck OEM	+6%	+10 pts
Agricultural Equipment	-2%	—

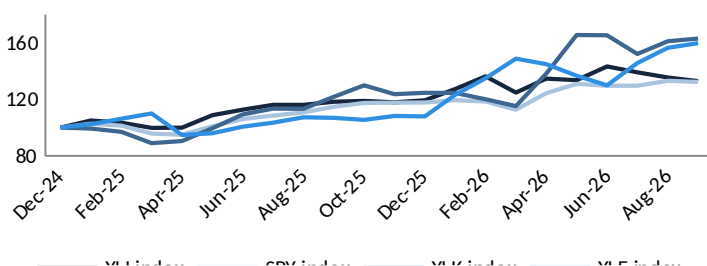
Region	Q2 2026	Q1 2026
Europe, Middle East & Africa	2.3%	flat
Asia-Pacific	8.0%	3.3%
China	3.1%	2.0%
United States	7.9%	9.0%

restrictive.

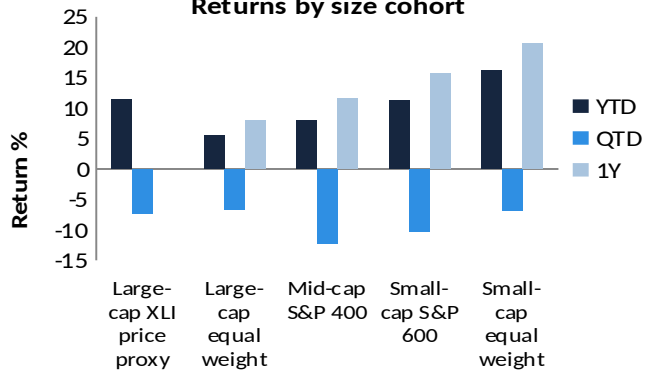
Industry Trend II.

- Revenue growth is no longer enough; the market is rewarding companies that convert backlog into margin and cash flow, while punishing businesses exposed to fuel, materials, freight or older fixed-price backlog.
- Backlog near 60% of next-12-month sales protects revenue but also means more shipments reflect orders priced before the latest jump in commodities, freight and tariffs.
 - Eaton Electrical Americas had organic sales +18%, rolling orders +41%, and backlog +33%, but operating margin fell to 27.5% from 29.5%.
 - Deutsche Bank found the median company in its group fell about 1% on earnings day and 15 of 24 stocks were down.
 - Delta’s fuel and related taxes rose to \$4.109 billion from \$2.458 billion and operating margin fell to 9.4% from 12.6%.

Industrials performance against the market



Returns by size cohort



A photograph of a modern, multi-story glass building with a paved walkway and landscaping. The building has a grid-like structure of glass panels. The walkway is made of large, light-colored tiles. There are young trees and shrubs planted along the walkway. The sky is blue with some clouds. The overall tone is professional and modern.

02 Key Industry Players

Key Industry Players: Four Conglomerates

Scale, diversification, and active portfolio management across peers

The industrial sector is highly diversified, with conglomerates playing an important role across multiple end markets, including manufacturing, automation, infrastructure, aerospace, and industrial technology.

These companies have historically served as major industrial conglomerates with exposure to many end to end markets.

- o GE
- o 3M
- o Honeywell
- o Siemens

Comparable Company Table

Company	Ticker	Mkt Cap	Rev.Gr.	5Y Ret.
Honeywell	HON	\$65.8B	+7.8%	+55%
Siemens	SIEGY	\$244.2B	+4.0%	+90%
3M	MMM	\$85.9B	+1.5%	+32%
GE	GE	\$340.0B	+16.0%	+160%

These companies combine scale, diversified industrial exposure and active portfolio management, making them useful reference points for assessing sector-wide positioning.

Honeywell

Honeywell’s portfolio is led by Aerospace Technologies (47% of sales), followed by Industrial Automation (25%), Building Automation (20%), and Energy & Sustainability Solutions (8%), making it a key industrial player through its leading positions in automation, aerospace systems, and technologies that improve operational efficiency and safety.

7.1x
EV/EBITDA

3.9%
DIV. YIELD

13.5%
ROIC

3M

3M’s diversified portfolio spans Safety & Industrial (46% of sales), Transportation & Electronics (33%), and Consumer (20%), making it a key industrial player through its broad exposure to manufacturing, advanced materials, electronics, and safety applications.

14.6x
EV/EBITDA

1.9%
DIV. YIELD

36.6%
ROIC

SIEMENS

Siemens generates revenue across Smart Infrastructure (~26%), Siemens Healthineers (~25%), Digital Industries (~23%), and Mobility (~15%), making it a key industry player through its leadership in industrial automation, digitalization, electrification, and infrastructure technology.

18.8x
EV/EBITDA

2.2%
DIV. YIELD

6.6%
ROIC



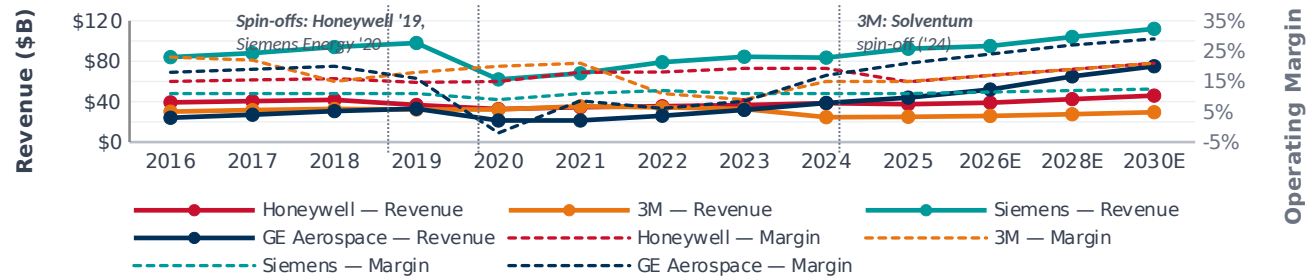
GE is now focused on aerospace, with GE Aerospace representing 100% of GE’s revenue and approximately 70% of aerospace revenue coming from services, positioning the company as a key player in global aviation through its large installed base of aircraft engines and recurring aftermarket business.

35.9x
EV/EBITDA

0.5%
DIV. YIELD

29.4%
ROIC

Revenue Growth & Margin Trajectory, 2016-2030E



A photograph of a modern glass skyscraper under a blue sky with some clouds. The building is reflected in the glass panels. In the foreground, there are trees and a paved walkway.

03 Subsectors Overview

Subsector Overview

Every GICS Industry within Industrials

Major Players: 14 across Three Industry Groups

Industrials resolves into three GICS industry groups containing fourteen industries. Each has a different cycle, a different buyer and a different bellwether — which is why sector-level multiples tell you very little on their own.

Capital Goods

Aerospace & Defense

GE Aerospace, RTX, Lockheed Martin, Airbus, Safran
Drivers: Defence appropriations and commercial fleet replacement

Building Products

Carrier, Trane Technologies, Johnson Controls, Masco
Drivers: Construction starts and datacentre cooling load

Construction & Engineering

Vinci, Quanta Services, AECOM, Ferrovial
Drivers: Public infrastructure budgets and megaproject awards

Electrical Equipment

GE Vernova, Eaton, Schneider Electric, ABB, Vertiv
Drivers: Grid capex and datacentre power demand

Industrial Conglomerates

Honeywell, Siemens, 3M, Hitachi
Drivers: Broad industrial production, plus portfolio actions

Machinery

Caterpillar, Deere, Komatsu, Parker Hannifin, ITW
Drivers: Construction, mining and agriculture capex

Trading Companies & Distributors

Fastenal, W.W. Grainger, Ferguson, Ashtead
Drivers: Industrial production, MRO and rental spend

Commercial & Professional Services

Commercial Services & Supplies

Waste Management, Republic Services, Cintas, Waste Connections
Drivers: Waste volumes, route density and price above cost inflation

Professional Services

ADP, Paychex, Verisk, Equifax, Booz Allen Hamilton, Robert Half
Drivers: Payroll counts, billable headcount and subscription renewals

Transportation

Air Freight & Logistics

UPS, FedEx, DSV, Deutsche Post DHL, Expeditors
Drivers: Parcel volume, global trade lanes and yield mix

Passenger Airlines

Delta, United, American, Ryanair, Lufthansa
Drivers: Corporate and premium leisure demand against seat capacity

Marine Transportation

A.P. Moller-Maersk, Hapag-Lloyd, Kirby, Matson
Drivers: Charter rates against orderbook and fleet supply

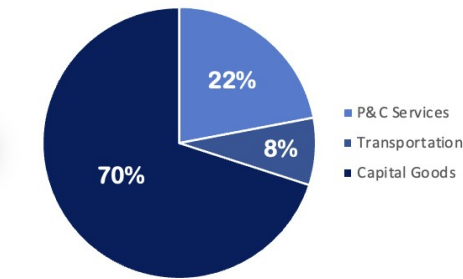
Ground Transportation

Union Pacific, CSX, Canadian National, Old Dominion, Uber
Drivers: Rail carloads, truckload spot rates and fuel surcharge lag

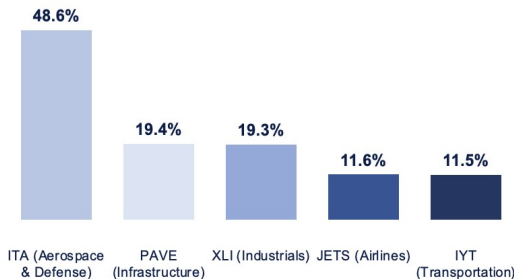
Transportation Infrastructure

Aena, Grupo Aeroportuario del Pacifico, Auckland International Airport
Drivers: Passenger throughput and regulated tariff resets

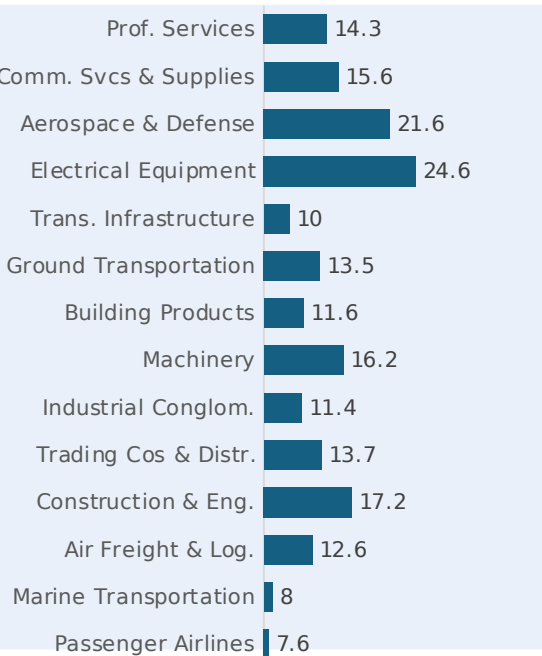
Where the Market Cap Sits



Industrials ETFs —FY Total Return(YoY)



EV/EBITDA Multiple by Sector



Subsector I: Aerospace & Defense

A Subsector of the Capital Goods Industry

Competitive Landscape

Aerospace and defense is the largest industry in industrials and the most misread. Commercial aerospace is a supply-constrained duopoly whose profits sit in the aftermarket rather than the original sale. Defense is a government-monopsony business where the customer sets volume by appropriation. Both live under one GICS code and a single sector multiple.

Commercial aerospace

Air Frame Market: Boeing and Airbus split the airframe market between them, at \$89.5bn and \$82.9bn of 2025 revenue.

Engines: An oligopoly of RTX's Pratt & Whitney, GE Aerospace at \$45.9bn, Safran at \$35.2bn, Rolls-Royce at \$27.9bn and MTU at \$9.9bn.

Structures and materials: Howmet at \$8.3bn, GKN at \$4.7bn and the specialty alloy houses Carpenter and ATI.

Components: Smaller but far more profitable, led by TransDigm at \$8.8bn, Parker Aerospace at \$6.2bn and Heico at \$4.5bn. Overhaul is fragmented, with StandardAero at \$6.1bn ahead of HAECO, AAR and FTAL.

Business and regional jets: Separate contest between Textron, Bombardier, Dassault and Embraer.

Defense

Defense is more concentrated and sells to one buyer per country. Five US primes take most of the domestic budget: RTX at \$88.6bn, Lockheed Martin at \$75.0bn, General Dynamics at \$52.6bn, Northrop Grumman at \$42.0bn and L3Harris at \$21.9bn.

Europe fields BAE Systems at \$37.3bn, Thales at \$25.0bn and Leonardo at \$22.0bn, with Rheinmetall at \$11.2bn and Saab at \$8.1bn growing fastest on rearmament budgets.

Outside the West the scale names are Hanwha at \$18.7bn, Elbit, Israel Aerospace, Mitsubishi and HAL.

A services layer of Leidos, Amentum, Booz Allen, CACI and SAIC sells engineering and IT rather than hardware, Huntington Ingalls at \$12.5bn dominates US shipbuilding, and entrants led by Palantir, Anduril, Kratos and Rocket Lab are winning autonomy and software work outside the classic acquisition process.

Moats: commercial aerospace

Certification lock	A part qualified onto an airframe cannot be substituted without recertification, so a supplier's position lasts the life of the programme.
Aftermarket annuity	The four major engine makers each added over \$2bn of operating profit in 2025, gains of 31% to 59%, driven by spares and shop visits, not new engines.
Sole-source pricing	TransDigm earns 47.2% and Heico 22.9% operating margin against an 11.9% top-100 average. Proprietary parts price off the installed base.
Pre-sold demand	Backlog sits near 15,000 aircraft, over ten years of output, and its value passed \$1.1 trillion for the first time in 2025.

Moats: defense

Platform incumbency	A prime is selected once per platform and then holds decades of sustainment at negotiated rates. Only about eleven contractors matter globally.
Contracted backlog	The eleven largest held \$937bn at year-end 2025 against \$831bn a year earlier, up more than 50% in three years. It cannot be competed away in-year.
Industrial base scarcity	Roughly 13,000 firms sit in the ecosystem and most are sole-source. The DoD wants a 400% lift in munitions output and must pay incumbents to build it.
Sovereignty rules	National procurement keeps foreign entrants out. European primes grew revenue 13% on self-reliance policy while US primes managed 6%.

Subsector I.

Subtitle

Market Outlook & Trends

1. The aftermarket is doing the earnings work

Late deliveries keep older aircraft flying, so shop visits and spare parts fill the gap. Overhaul providers including StandardAero, FTAI and VSE grew profit between 37% and more than 200% in 2025.

2. Demand keeps outrunning production

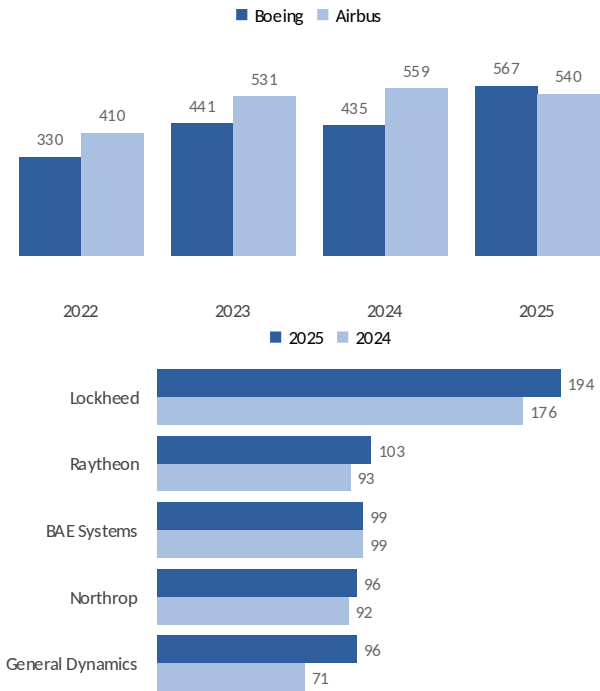
Backlog sits near 15,000 aircraft, more than ten years of output at current rates. Boeing out-ordered Airbus for the first time since 2018 and delivered 600 aircraft against 348 a year earlier.

3. Defense backlog leads revenue by years

Backlog rose 14% in 2025 while US prime revenue grew only 6%, and margin held at 9.4%. The bottleneck is capacity, which is why the DoD is targeting a 400% increase in munitions output.

4. The Gulf conflict is the swing factor for 2026

The twenty largest listed airlines lost roughly \$53bn of market value within a month of the outbreak. IATA's 4.9% RPK forecast for 2026 predates it, so treat that as a ceiling rather than a base case.



Risk & Mitigants

Fuel and Gulf disruption

Jet fuel doubled and 63,000 flights in and out of Gulf airports were cancelled.

Mitigant Aftermarket mix is largely insulated from traffic; cargo demand has proven more inelastic than passenger.

Tariffs and input costs

PwC estimates tariffs added about 15% to production costs on average in 2025.

Mitigant US and EU restored zero tariffs on aircraft and parts from 1 September; dual-continent footprints absorb the rest.

Sole-source supply base

Around 13,000 firms sit in the ecosystem, most sole-source; one failure gates a ramp.

Mitigant Long-term agreements, dual sourcing, and OEM capital invested directly into constrained suppliers.

Programme charges

Northrop took further B-21 charges in 2025, offsetting gains elsewhere in the peer group.

Mitigant Mix shifting toward cost-plus structures, with most legacy fixed-price charges already recognised.

Labour costs

Labour agreements provide high single-digit pay increases over the next several years.

Mitigant Automation, apprenticeship pipelines, and the operating leverage that comes with a higher production rate.

Subsector II. Electrical Equipment

Grid hardening, data-center power and electrification are extending a multi-year demand

Sector Overview

Electrical Equipment sits within Industrials, Capital Goods, industry group 2010, industry 201040, and includes two main branches: Electrical Components & Equipment (20104010) and Heavy Electrical Equipment (20104020). The subsector includes low-voltage power distribution products (switchgear, breakers, panelboards, busway, PDUs, UPS), utility transmission and distribution products (connectors, insulators, reclosers, pole-line hardware, grid components), data-center power and thermal infrastructure, enclosures, fastening, power quality and backup-power products and selected lighting and building electrification exposure.

- In the Industrial Select Sector SPDR (XLI), Electrical Equipment is about 13.7% of sector weight, behind Aerospace & Defense and Machinery, with roughly \$772 billion of aggregate market value.¹
- 2Q26 industrial end-market tracking showed Electrical Products around +18% year over year and Power around +17%, placing the subsector near the top of the industrial growth ranking.³
- Growth is being driven by utility transmission and distribution spending, grid hardening and storm resiliency, switchgear and breaker replacement, data-center power buildout, backup power, commercial building electrification and power-quality investment.⁴
- Orders and backlog remain stronger than in most short-cycle industrial markets, but 2027 earnings still depend on price discipline and cost pass-through.

Competitive Landscape

Electrical Equipment is not one homogeneous market. Roughly 35–40% of sector exposure is in low-voltage distribution and protection, 20–25% in high-voltage grid and transformers, 15–20% in utility distribution and grid hardening, and 10–15% in data-center critical power and thermal. Electrical infrastructure, enclosures and backup generation each account for roughly 5–10%. More than half of the sector is therefore tied to utility, grid and mission-critical infrastructure rather than normal short-cycle construction. Competition is concentrated, with most major product categories led by three to four scaled suppliers.

Sector at a Glance	
XLI industry weight	13.7%
Approx. aggregate market value	~\$772bn
2Q26 Electrical Products growth	+18% YoY
2Q26 Power growth	+17% YoY
Global data-centre capacity, 2025-2030	>2.0x
Minimum implied capacity CAGR	>14.9%
U.S. data-centre share of power demand by 2030	>10%



Segment	What it contains	Primary end markets	leading suppliers
Low-voltage distribution & protection	LV switchgear, circuit breakers, panelboards, busway, PDUs, UPS, wiring devices	Commercial buildings, industry, data centers	Schneider Electric; ABB; Eaton; Siemens Smart Infrastructure
High-voltage grid, transformers & substations	Power transformers, HV switchgear, substations, HVDC, grid-stabilization equipment	Transmission utilities, renewables, hyperscalers, heavy industry	Hitachi Energy; Siemens Energy; GE Vernova
Utility distribution components & grid hardening	Connectors, insulators, reclosers, switching/protection, pole-line hardware, distribution automation	Regulated electric utilities and distribution networks	Hubbell; S&C Electric; Eaton
Data-center critical power & thermal	UPS, power distribution, rack power, liquid/air cooling, controls, prefabricated infrastructure	Hyperscale, colocation, enterprise data centers	Vertiv; Schneider Electric; ABB; Eaton
Electrical infrastructure, enclosures & busway	Enclosures, electrical connections, busway, cable management, racks, fastening, building power distribution	Data centers, industrial, commercial buildings, infrastructure	Legrand; nVent; Schneider Electric
Backup generation & resilient power*	Standby/prime generators, transfer switches, distributed generation, energy-management systems	Data centers, commercial, healthcare, residential resilience	Cummins; Caterpillar; Generac

Subsector II. Electrical Equipment

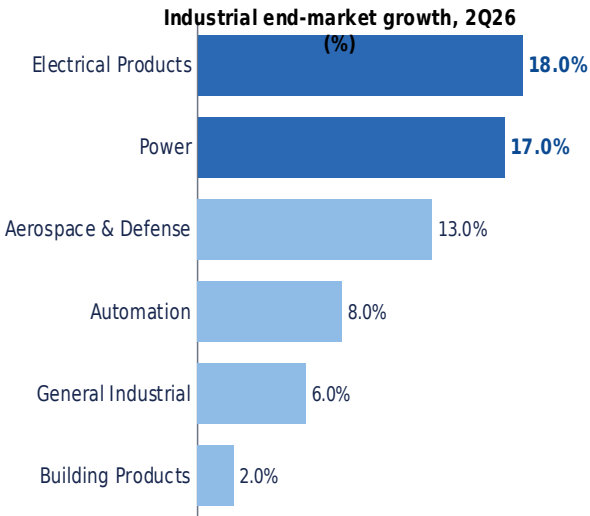
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Market Outlook & Trends

Grid and data-center capex are extending the cycle. Electrical Products grew 18% YoY and Power 17% in 2Q26; 18 of 20 industrial end markets were positive and 17 of 20 accelerated sequentially. The strongest demand remains concentrated in grid, power and electrification rather than traditional short-cycle equipment.

Data centers add a second multi-year demand leg. Global data-center capacity could more than double from 2025-2030, account for over 20% of global electricity-demand growth, and exceed 10% of U.S. power demand by 2030. That directly supports transformers, switchgear, breakers, busway, UPS, cooling and grid interconnection.

Capacity remains the constraint. Transformer backlogs and margins remain elevated while copper, aluminum, silicon and steel availability limits how quickly suppliers can convert demand into shipments. The near-term advantage therefore sits with companies that already have manufacturing capacity and qualified product platforms

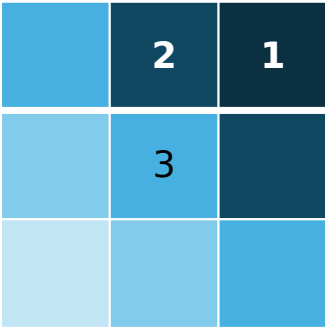


Risk & Mitigants

Input inflation is the main earnings risk. August Producer Price Index was +5.4% YoY; final-demand goods rose 1.1% MoM, energy 4.2%, and transportation and warehousing 2.3%. Fixed-price backlog and long project lead times leave electrical suppliers exposed when material and freight costs rise after orders are booked.

Rates keep the recovery uneven. The federal-funds target remains 3.50%-3.75%, leaving construction and financed equipment more exposed than regulated utility, grid and hyperscale data-center projects.

The better setups have faster repricing, shorter price locks, local sourcing, higher service content and selective project bidding. Recent backlog is more valuable than legacy fixed-price backlog; capacity expansion helps revenue, but pricing discipline and working-capital control determine how much of that growth reaches margin and cash flow.



Risk	Mitigant
Price-cost & tariffs	Indexed pricing / surcharges; shorter quote validity; local or dual sourcing.
Capacity & backlog execution	Capacity additions; selective bidding; shorter price locks; milestone billing.
Rates & construction demand	Shift mix toward utility, data-center and service; limit financed-construction exposure.

A photograph of a modern, multi-story glass building with a paved walkway and landscaping. The building has a grid-like facade of glass panels. In the foreground, there is a wide, paved walkway made of large, light-colored tiles. To the left of the walkway, there are some trees and bushes. To the right, there are more trees and a small bench. The sky is blue with some white clouds. The overall scene is bright and clear.

04 Transaction Case Studies

Transaction Case Study

Union Pacific – Norfolk Southern | In-Process Class I Rail Merger

Transaction Overview



Union Pacific (UP)

Class I railroad · est. 1862 · Omaha, NE
32,200 route miles · 23 western states



Norfolk Southern (NS)

Class I railroad · est. 1982 · Atlanta, GA
19,400 route miles · 22 eastern states + DC



Combined Network

UP (west) and NS (east) currently interchange mainly through Chicago, Memphis, St. Louis and New Orleans. The merger joins both networks into one continuous coast-to-coast system, removing these handoff points.

Deal Structure

Each NS share converts into 1 UP share + \$88.82 cash — funded by 225m new UP shares and \$20bn of new cash consideration. Deal valued at \$85bn, implying a 25% premium to NS's 30-day VWAP.

Jul '25: Announced

Nov '25: Shareholders approve

May '26: STB accepts filing

2026-27: Formal STB review

Q3/Q4 '27: Expected close

Key Transaction Metrics

\$85bn
Deal value

50,000+
Combined route miles

Approx. 100
Ports served

Across 43
States

Buyer & Seller Rationale

Buyer: Union Pacific

- Create the first coast-to-coast U.S. railroad, connecting UP's Western network with NS's Eastern network and eliminating reliance on competing carriers for cross-country shipments
- Improve network efficiency by reducing interchanges, handoffs and bottlenecks, particularly at major Midwest gateways such as Chicago
- Drive revenue growth by capturing truck-to-rail volumes, opening new East-West routes and expanding access to ports and international markets.
- Unlock ~\$2.75B in annual synergies, including ~\$1.75B of revenue synergies and ~\$1.0B of cost savings through greater asset utilization and operating efficiencies

▲ Tailwinds

- UP shares are up 15% YTD and 24% over the past year
- SMART-TD (largest rail union) and hundreds of shippers back the deal
- Deal has drawn public support from the White House

Seller: Norfolk Southern

- Monetize NS at a significant premium, with the transaction valuing NS at \$320/share — a 25% premium to its unaffected 30-day VWAP.
- Retain meaningful upside through the stock component, allowing NS shareholders to participate in the combined company's expected growth and synergies.
- Expand NS's growth opportunity by combining its Eastern network with UP's Western network and creating new long-haul East-West freight flows
- Resolve structural network inefficiencies, giving NS customers a single carrier for cross-country shipments and reducing handoffs, delays and transit times

▼ Headwinds

- A ~\$2.5bn breakup fee applies to UP if terminated
- BNSF, CSX, CN, CPKC have formally opposed, filed STB motions
- BLET, BMWED unions withdrew support over safety concerns



05 Market Outlook

Industrials Market Outlook

Global Investment and Manufacturing Trends Support Long-Term Growth

1. Resilient Activity Remains Despite Macro Uncertainty

- Despite this slower macro backdrop, global manufacturing activity has continued to expand. Manufacturing production increased 1.2% QoQ in Q1 2026, accelerating from relatively subdued growth throughout 2025 and extending the positive quarterly growth seen since early 2023.
- Growth has increasingly shifted toward industrializing economies, while mature high-income manufacturing markets have seen much slower expansion. Based on UNIDO's manufacturing output index, industrializing economies have grown materially faster than high-income industrial economies since 2022.
- This divergence is also visible geographically, with Asia and the Pacific leading manufacturing growth in Q1 2026, while Europe was the only major region to record a significant decline.

Manufacturing Output Growth by Economy Group (2022 – 2026)	
World	8.5%
Industrials Economies	7.5%
High Income Industrials Economies	0.7%
Middle Income Industrial Economies	3.8%
China	20.3%
Industrializing Economics	16.8%

2. Emerging Markets Becoming Large Driver of Growth

- We expect this trend to continue as companies expand production capacity and supply chains into faster-growing markets. Industrials companies with meaningful exposure to developing manufacturing regions should therefore have stronger growth opportunities than those concentrated in slower-growing mature markets.
- Importantly, growth is not limited to China, with manufacturing activity across other parts of Asia also continuing to expand. Southeast Asia and India are becoming increasingly important manufacturing locations as companies diversify supply chains and establish additional production capacity closer to end markets.

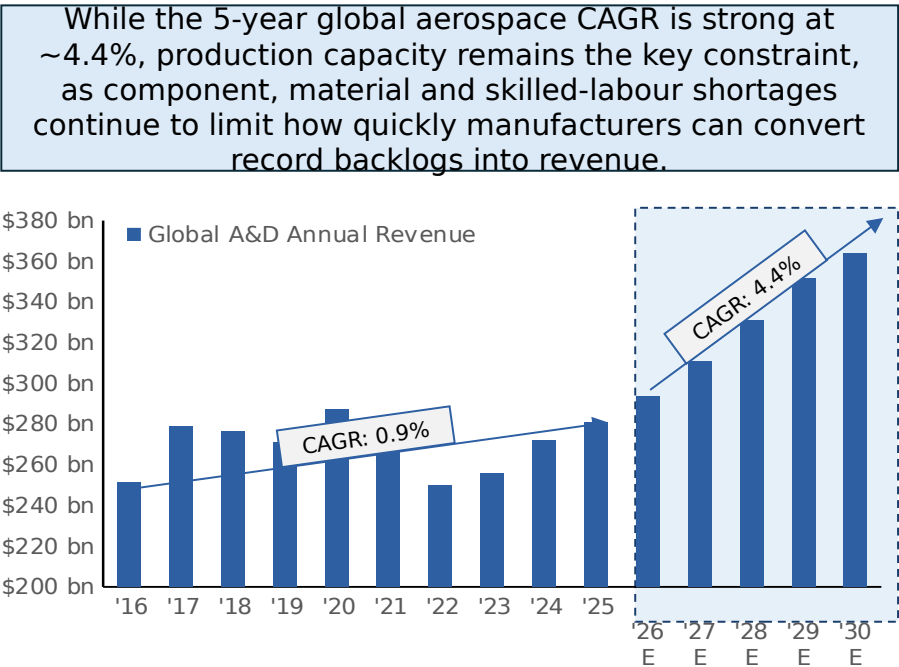
Key Outlooks		Select Cases
Thailand (Automotives)	More than \$4.1B of investment mandates across 198 EV and automotive supply-chain projects, including vehicle assembly, hybrid systems, batteries and critical components.	 \$900M factory in 2024 with annual capacity of 150,000 vehicles, making Thailand a major production base for BYD
Malaysia (A&D)	Expansion in aerospace manufacturing base, with RM993M of approved aerospace investment across 16 projects in 2025 in aerostructure, engine components and more.	 New 15-year Rolls-Royce contract in 2023 to produce rear cases for the Trent 1000 and Trent 7000 engines; start of production in 2025

Industrials Market Outlook

Structural Tailwinds Support Continued Industrials Growth

3. Aerospace & Defense: Strong Backlogs Support Sector Growth

- Defense demand remains structurally strong, supported by higher military spending, inventory replenishment, and increased investment in munitions, missile defense, drones, space and other advanced defense technologies.
- Elevated order backlogs provide strong multi-year revenue visibility, with major U.S. defense primes holding ~\$557bn of backlog and Airbus ending H1 2026 with 9,222 commercial aircraft in backlog.



4. Reshoring of Manufacturing Capacity to Support Capital Goods

26%

of U.S. companies are planning on executing reshoring (vs. 10% six months earlier)

44%

of U.S. companies invested in automation in response to the changing trade environment

18% to 50%

of companies expected to increase in highly automated manufacturing processes by 2030

- Reshoring is supporting a multi-year manufacturing investment cycle, as companies invest in domestic capacity, localize supply chains and place greater emphasis on resilience alongside cost efficiency.
- Higher domestic labour costs are making automation increasingly necessary, driving demand for robotics, machinery, controls, sensors and other technologies that improve productivity and protect margins.
- Capital Goods should benefit disproportionately from this shift, particularly suppliers of mission-critical equipment and automation solutions, although policy uncertainty may delay the timing of some near-term investment.



06 Featured Company Pitches

Carrier Global Corporation

Thermal Infrastructure Priced as Building Products

NYSE: CARR | Price (8 Sep 26): \$59.11

Street Price Target: \$73.67

Our Price Target: \$77.00

What Happened?

- Carrier has fallen 23% from its 52-week high of \$76.76 to \$59.11 while the company raised full-year guidance twice. The de-rating traces to one line in the P&L: adjusted operating margin fell 190bps year over year to 17.2% in Q2 2026 and adjusted EPS declined 7% to \$0.86.
- The market read both as a residential HVAC cyclical losing pricing power into a soft housing market. Management attributed the decline to input costs and mix. Over the same quarter total orders rose ~40%, commercial HVAC orders 65%, data centre orders fourfold, and backlog crossed \$8B, up 40% year over year. FY2026 guidance moved from ~\$22B to ~\$23B of sales and from \$2.80 to \$2.90 of adjusted EPS. The stock is trading on a trailing margin print against an order book that has already been sold.

Investment Thesis:

1. Price/Cost Timing, Not Margin Erosion

Carrier is absorbing \$400-450M of tariff and commodity inflation in FY2026 and has implemented roughly two points of global price to offset it, about 75% of it tariff-related. Two points on ~\$23B of guided sales is ~\$460M, which covers the headwind in full. Management confirmed the price is weighted to H2 while the cost ran through H1. The market has capitalised a within-year sequencing mismatch as a permanent ceiling on structural margin.

2. The Second Half Is Already Booked

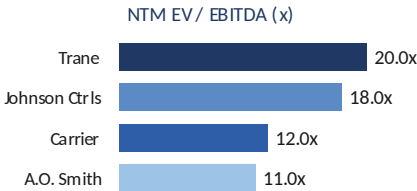
Data centre revenue is guided to ~\$2B in FY2026 against ~\$1B in FY2025, on an exit run-rate of ~\$2.5B. Only ~\$500M was recognised in H1, so ~\$1.5B ships in H2, and management stated the second half is fully booked with customers pushing to accelerate rather than defer. Reported backlog excludes expected orders under long-term hyperscaler and colocation agreements, so \$8B understates real visibility.

3. The Multiple Prices the Wrong Business

At ~13.4x FY26E EBITDA, Carrier sits below Johnson Controls (~18x) and Trane (~20x) on NTM, near the 11.6x Building Products subsector average. Those multiples fit a housing-linked equipment cyclical. Roughly 9% of FY26E revenue and effectively all of the order growth is data centre thermal, the demand supporting a 24.6x average across Electrical Equipment. Carrier is valued on what it was, not what the backlog says it is becoming.

The Peer Set Prices This Differently

- Carrier is the cheapest large-cap name in its own thermal peer group on NTM EV/EBITDA, and the discount is not explained away by growth. Trane's record \$12.1B backlog, up 70% year over year on a 135% book-to-bill, confirms that data centre thermal demand is sector-wide rather than a Carrier-specific pull-forward.
- Trane is rewarded for that book at ~20x EBITDA and ~28x forward earnings. Carrier's Q2 order growth was faster in percentage terms and its multiple is a third lower.



The Aftermarket Annuity Lags the Equipment

Equipment is 75% of Carrier revenue and parts and service 25%. Service attaches to equipment after it ships, so the highest-margin revenue associated with the current backlog has not reached the P&L. Aftermarket grew high single digits in H1 2026 against an already large connected base. Every chiller and coolant distribution unit shipped in H2 extends that base at a margin above the equipment sale that created it.



Catalysts

Q3 2026 results (late Oct). First hard read on the ~\$1.5B H2 data centre ramp and on whether H2 pricing restores the margin line.

FY2027 guidance. A ~\$2.5B data centre exit run-rate carried into a full year is the number that forces a comp-set reclassification.

New US chiller plant. Site confirmation and start-up for early 2027 turns the capacity-constraint argument into installed capacity.

Key Risks

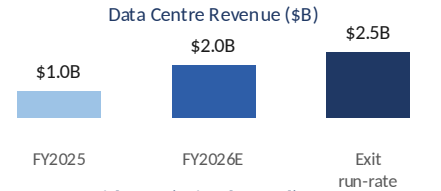
H2 Execution Concentration: ~\$1.5B of data centre revenue must ship in one half. Slippage into FY2027 breaks the guide.

Hyperscaler Capex Reversal: ~9% of FY26E sales but nearly all the order growth. A pause hits the multiple before revenue.

HVAC Antitrust Litigation: Berg v. Robert Bosch (E.D. Mich., 20 Mar 2026) alleges US price-fixing and names Carrier. An adverse outcome attacks the pricing mechanism this thesis relies on.

Valuation Overview

Price (8 Sep 26)	\$59.11
Our Price Target	\$77.00
Implied Upside	+30.3%
Street Price Target	\$73.67
Shares Outstanding	830.6M
Market Capitalisation	\$49,097M
Net Debt (30 Jun 26)	\$10,608M
Enterprise Value	\$59,705M
FY2026E Sales	~\$23,000M
FY2026E Adj. Op. Profit	~\$3,500M
FY2026E Adj. EBITDA	~\$4,450M
EV / FY2026E EBITDA	13.4x
FY2026E Adj. EPS	\$2.90
52-Week High / Low	\$76.76 / \$50.24



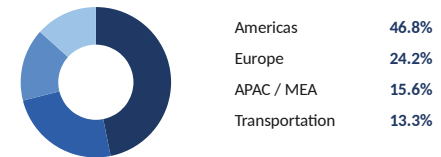
FY2026 Guidance (raised 28 Jul)

Sales	\$22B → \$23B
Organic growth	Flat-LSD → Mid-HSD
Adj. operating profit	\$3.4B → \$3.5B
Adj. EPS	\$2.80 → \$2.90
Data centre revenue	\$1.5B → \$2.0B

Order Book — Q2 2026

Total orders	+~40% YoY
Commercial HVAC orders	+~65% YoY
Data centre orders	~4x YoY
Backlog	\$8.0B
Backlog growth	+40% YoY / +20% QoQ
H2 2026 organic guide	Mid-teens

Where the Revenue Sits



Q1 2026 mix. Americas resi and light commercial returned to growth in Q2 at +9% and +10%. A quarter of revenue is European heat pumps.